Practice workbook · Income elasticity of demand and types of goods

What YED measures, classifying goods by the sign and size of YED, and how firms and government use YED as incomes change.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-15

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

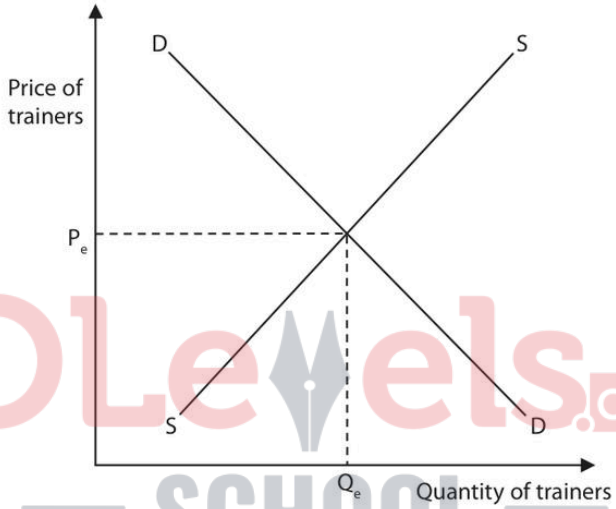


Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

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Megabus provides cheap bus travel in Canada, the US and the UK. Research showed that if incomes rose by 10% then the quantity demanded for bus travel would fall by 15%.

(i) With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus.

(6)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.



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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part c · 2 marks · Working and answer

Working and answer

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3. Question 3 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

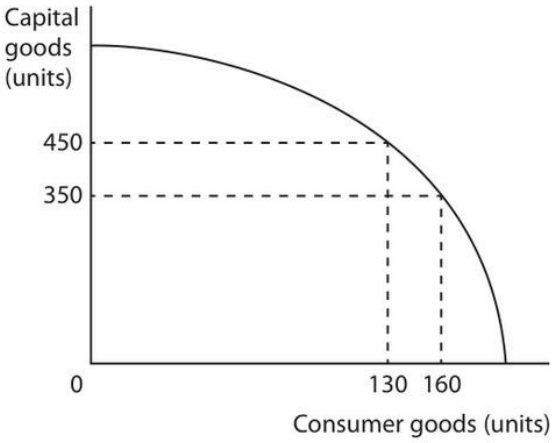


Figure 6

(a) When the current level of output is 350 units of capital goods, calculate the **opportunity cost** of producing an additional 100 units of capital goods. You are advised to show your working.

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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Five years ago Ben Hogan began working for a large firm based in London. He was originally happy with his role but is now thinking about leaving. He is frustrated with how long it takes for even straight-forward decisions to be made.

The firm has grown considerably in the last two years and there are many more employees as a result. There is an increasing number of checklists about how to carry out tasks. Ben finds this time-consuming and feels his ideas are no longer listened to.

(b) With reference to the data above and your knowledge of economics, analyse why Ben's employer might be experiencing diseconomies of scale.

(6)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

Amazon Prime Video is a multinational entertainment provider. It streams films and television shows to subscribers through the internet. In Japan, Amazon holds 11.5% of the market share. This is higher than Netflix but less than dTV, U-NEXT and Hulu. Subscribers currently pay 3 900 yen ($36.75) for annual membership to stream from Amazon, which is cheaper than its competitors.

(Source adapted from: https://variety.com/2018/tv/news/amazon-netflix-gain-ground-japan-streaming-1202729953/)

(c) With reference to the data above and your knowledge of economics, evaluate the importance of income elasticity of demand (YED) for Amazon Prime Video as incomes in Japan increase.

(12)

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4. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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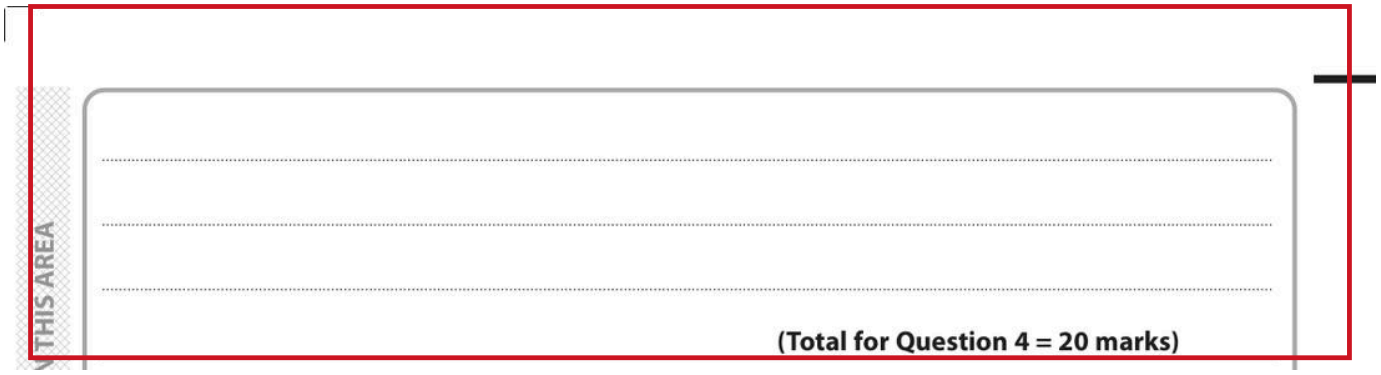
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4. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

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(c) What is meant by the term inferior good?

(2)

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7. Question 1 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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8. Question 1 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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8. Question 1 · part c · 2 marks · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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11. Question 3 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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11. Question 3 · part b · 1 mark · Working and answer

Working and answer

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12. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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12. Question 1 · part b · 1 mark · Working and answer

Working and answer

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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

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4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

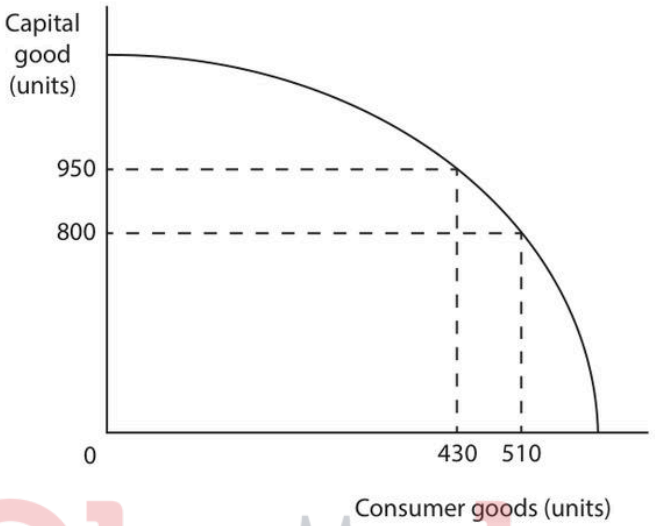


Figure 6

(a) When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

Bulgaria has an extensive rail network. Many towns and cities are also accessible by bus. Both these methods of public transport are low priced. However, train travel is considered poor by European standards, with frequent train cancellations and a poor record of safety. Buses are often late and take a lot longer to reach their destination than if travelling by private car.

(b) With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria.

(6)

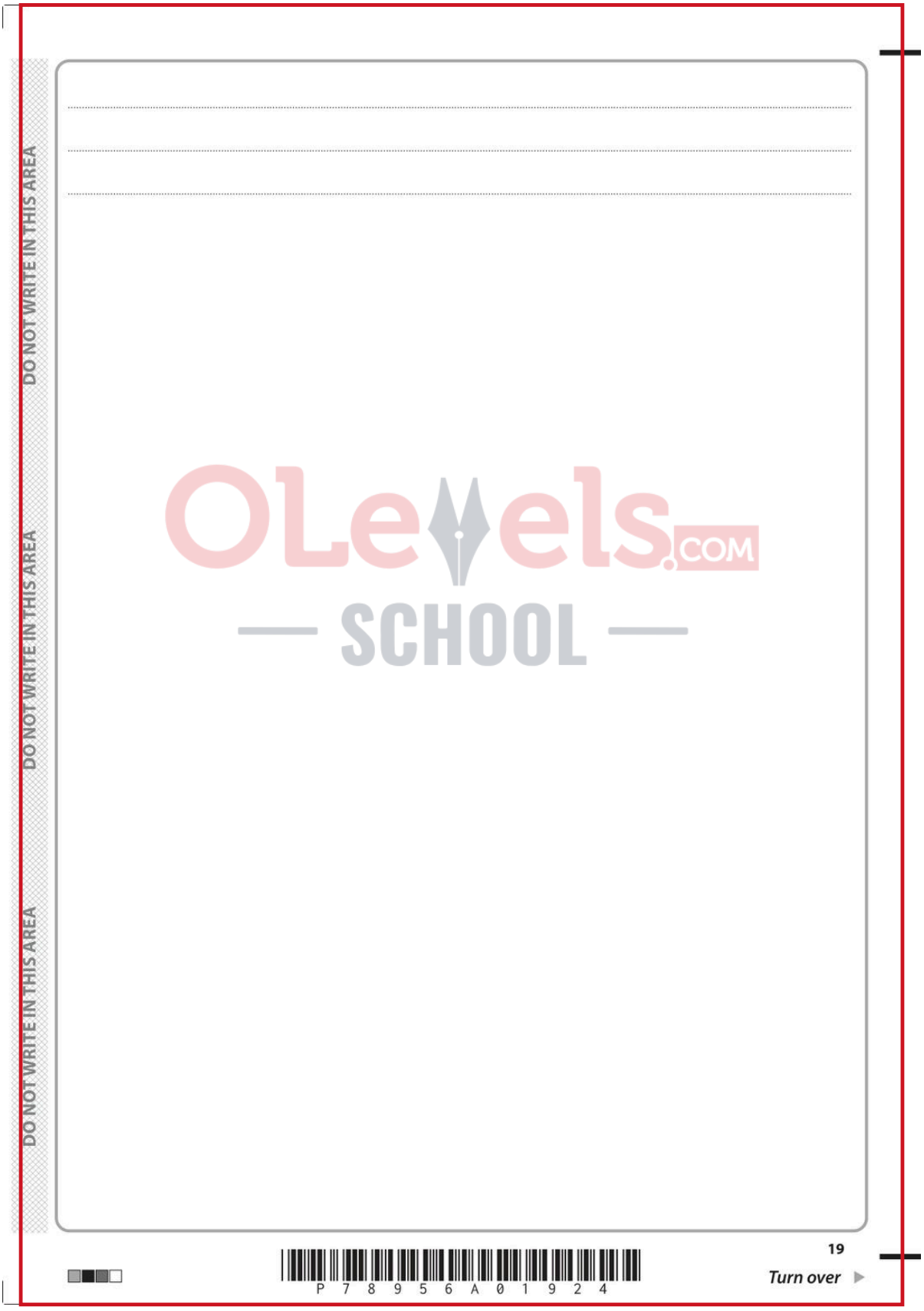
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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.



13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

In January 2025, the Western Australian Government announced plans to invest AU$107m to expand the Swan River ferry network. The river is 72 km long and a major waterway, connecting many areas in its capital city, Perth.

The plan would have five new electric ferries built by local firms. Each ferry has the ability to transport more than 130 passengers per trip. In addition, there would be two new stops along the river, one close to a bus depot and one to enable easier access to the University of Western Australia.

Local sailing clubs were concerned about safety from the addition of ferry services into areas used by smaller boats. Meanwhile, politicians opposed to the addition said that creating extra parking for ferry customers may cause problems.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

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